

# Network Effects

*Some things get more valuable the more people use them — which sounds wonderful, until you notice it means the market often crowns the first to get big, not the best.*

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A single telephone is useless. The second one makes both worth something. By the millionth, owning a phone is close to essential — not because the device got better, but because everyone else is reachable through it. That is a network effect: a thing whose value to each user rises as more people use it. Your phone, your messaging app, the marketplace where the most buyers and sellers already are — these are valuable largely *because* of how many others are already there, not because of anything in the product itself.

It sounds like a pure good, and often it is: networks that connect more people genuinely create more value for everyone in them. But network effects have a hidden consequence that quietly reshapes whole industries, and it's the point of this primer. When value comes from how many others have joined, people pile onto whatever is *already biggest* — which makes it bigger still, which pulls in more people, in a loop that feeds itself. The result is that markets with strong network effects tend to tip toward a single winner. And here's the unsettling part: the winner isn't necessarily the *best* option. It's the one that got *big first*. The crowd, not the quality, decides — and then the crowd locks the decision in.

## THE TOOL, STATED PLAINLY

A **network effect** exists when a product or service becomes more valuable to each user as more people use it. The value lives in the size of the network, not just the product. Strong network effects tend to make markets "tip" toward one dominant winner — because the biggest network is the most useful, which makes it bigger.

Start with the genuine good. When more users make a thing more useful, growth creates real benefit for everyone already there. A bigger marketplace means buyers find more sellers and sellers find more buyers. A messaging app everyone uses means you can reach anyone. A common standard — a shared language, a single set of rules — lets strangers cooperate who otherwise couldn't. Network effects are why some of the most valuable things humans have built, from money to language to the internet itself, work at all: their worth comes from being shared.

And the snowball is real. Each new user makes the network slightly more valuable, which attracts the next user, which makes it more valuable still — a self-reinforcing loop that can take something from nothing to indispensable astonishingly fast. This is the engine behind the explosive rise of the platforms in your life: they didn't just grow, they grew *because* they were growing, each new member making membership more worthwhile. Granted fully, this is one of the most powerful value-creating dynamics in the modern economy. The trouble is what the same loop does to competition.

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*When value comes from who's already there, the market doesn't crown the best. It crowns the first to get big — and then locks the door behind them.*

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## II Why the Snowball Becomes a Trap

The dynamic is neutral and often beneficial. But two consequences turn it into one of the most powerful sources of locked-in market power — the reason network-effect industries so rarely have real competition.

### LEVER 1

#### **First-and-biggest beats best**

Because users flock to the largest network, the product that grows fastest early can win permanently — even if a rival is better. A superior competitor that arrives late faces an empty network no one wants to join, while the inferior incumbent has everyone. Quality loses to size. The market's "choice" is really just the crowd following the crowd.

### LEVER 2

#### **Lock-in: you can't leave alone**

Once a network wins, leaving means abandoning everyone who's there — your contacts, your audience, your history. Even users who dislike it stay, because the cost of leaving is being cut off from the crowd. That traps people in a service they'd otherwise quit, and lets the winner slip on quality, raise its take, or harvest data, knowing you can't easily walk.

**The question to carry everywhere:** *when one product dominates, ask — does it dominate because it's truly the best, or because network effects made it the place everyone already is? And could you actually leave if you wanted to? Network effects can make a mediocre winner feel inevitable and a locked-in crowd feel like a free choice. Telling "best" apart from "biggest" — and "chosen" apart from "stuck" — is the whole skill.*

### III The Same Force, Three Contexts

Watch network effects create shared value, crown a winner by size, and trap people who'd rather leave.

#### CONTEXT ONE · SHARED VALUE

##### **A common language or a shared standard**

The more people who speak a language, the more useful it is to speak it — so widely shared languages and standards (a common measurement system, a universal plug) let strangers cooperate effortlessly. This is the network effect at its most benign: the value is genuinely shared, no single company owns the network, and being big helps everyone without trapping anyone in a particular owner's grip. Notice the difference from what follows.

| *Is the value shared by all — or captured by one owner?*

#### CONTEXT TWO · SIZE BEATS QUALITY

##### **The social platform everyone uses, even those who dislike it**

A social network wins not because it's the best-designed but because it got big first; now everyone's there, so everyone has to be there. A genuinely better competitor launches — and dies, because joining an empty network is pointless when all your friends are elsewhere. The incumbent's dominance rests on its *size*, not its quality. Lever 1 in action: the market crowned the biggest, and "better" couldn't get a foothold.

| *Is it winning on quality — or just on who got there first?*

#### CONTEXT THREE · LOCKED IN

##### **Wanting to quit an app but not being able to afford to**

You're unhappy with a platform — the ads, the changes, how it treats you — but leaving means losing years of contacts, content, and reach that live only there. So you stay, and so does everyone else who feels the same, each held by the others. The platform knows it, and can degrade your experience or extract more from you because

your "nowhere else to go" is built from everyone being stuck together. That's Lever 2: lock-in turning a crowd of unwilling users into captive power.

*Are people staying because it's good — or because leaving costs too much?*

#### IV Activity — Best, or Just Biggest?

For each, decide whether network effects are creating shared value, crowning a winner by size rather than quality, or locking users in. Name whether you think people could realistically leave.

| THE CASE                                           | SHARED VALUE, SIZE-OVER-QUALITY, OR LOCK-IN? | COULD USERS REALISTICALLY LEAVE? |
|----------------------------------------------------|----------------------------------------------|----------------------------------|
| The messaging app all your friends use             | ...                                          | ...                              |
| The metric system                                  | ...                                          | ...                              |
| A marketplace with the most buyers and sellers     | ...                                          | ...                              |
| A professional network you must be on to get hired | ...                                          | ...                              |
| A better new app that no one you know has joined   | ...                                          | ...                              |

WRITE

#### A network you can't leave

Name a platform or service you stay on mainly because everyone else is there. Is it actually the best option, or just the biggest? What would you lose by leaving — and does knowing that change how you feel about being there? Could a better alternative ever win?

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#### V For Discussion

- 1 Network effects can make a worse product win permanently over a better one. Does that break the usual story that markets reward the best? What would it take for "better" to beat "bigger"?

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- 2 When millions stay on a platform they dislike because leaving means losing everyone, is that a free choice or a trap? Does the distinction matter for whether the platform should be regulated?

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- 3 Some networks — a shared language, the internet's basic standards — are owned by no one, so being big helps everyone. Others are owned by one company. Should networks that become essential be allowed to stay privately owned?

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- 4 If network effects naturally push toward a single winner, can competition ever discipline these markets on its own — or does the lock-in mean something else has to?

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*The more who join, the more all are bound to stay.  
Network effects build real shared value — and then quietly decide  
that the first to get big wins, and no one can afford to leave.  
Knowing "biggest" from "best," and "chosen" from "stuck," is the skill.*